KASNEB PASTPAPERS · CPA STUDY MATERIALS

Entrepreneurship and Communication

Course: ATD — Accounting Technicians Diploma

Level: Level I

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB ATD Level I Entrepreneurship and Communication syllabus topics — entrepreneurship concepts, business plans, and business communication skills. Authored from general entrepreneurship and communication knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. Entrepreneurship: concepts and characteristics

An **entrepreneur** is a person who identifies a business opportunity, mobilises resources, and takes on the risk of organising and running a venture in pursuit of profit and growth. Commonly cited entrepreneurial characteristics include: innovativeness, risk-taking (calculated, not reckless), initiative, persistence, and a strong internal drive for achievement.

Entrepreneurship is distinguished from simply "being self-employed": an entrepreneur typically seeks to grow and scale a venture, often introducing some element of innovation, rather than merely replicating an existing income-generating activity at a fixed, small scale.

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2. Identifying and evaluating business opportunities

Opportunities are often identified by observing: unmet customer needs, gaps in existing markets, inefficiencies in how a good or service is currently delivered, or emerging trends (technological, demographic, regulatory). Once identified, an opportunity should be evaluated against criteria such as: genuine market demand, the entrepreneur's own skills/resources fit, the level of competition, required capital versus available capital, and the realistic profitability of the idea.

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3. The business plan

A **business plan** is a formal written document describing a business's objectives, strategy, and how it intends to achieve them — used both to guide the entrepreneur's own decisions and to persuade lenders/investors to provide finance. A typical business plan includes:

- **Executive summary** — a concise overview of the whole plan.
- **Business description** — the nature of the business, its mission and objectives.
- **Market analysis** — target customers, market size, competition.
- **Organisation and management** — ownership structure, key personnel.
- **Products/services** — what is being offered and its unique value.
- **Marketing and sales strategy** — how customers will be reached and retained.
- **Financial plan** — start-up costs, projected income/expenses, funding required.

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4. Forms of business ownership

- **Sole proprietorship** — owned and run by one person; simple to set up, owner keeps all profit, but bears unlimited personal liability for business debts.

- **Partnership** — owned by two or more people sharing capital, management and profit/loss under a partnership agreement; partners typically bear unlimited liability (unless structured as a limited partnership).
- **Private limited company** — a separate legal entity from its owners (shareholders), giving owners limited liability (liability restricted to the amount invested); more complex to set up and administer than a sole proprietorship.
- **Cooperative** — owned and controlled by its members for their mutual benefit, common in savings/credit and agricultural marketing contexts in Kenya.

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5. Sources of finance for a small business

- **Personal savings** — the entrepreneur's own funds; no interest cost or loss of control, but limited in amount and puts personal wealth at direct risk.
- **Family and friends** — often flexible terms, but can strain personal relationships if the business struggles.
- **Bank loans** — provide larger amounts of capital but require security/collateral, interest payments, and typically a viable business plan or track record.
- **SACCOs and microfinance institutions** — often more accessible than commercial banks for small entrepreneurs, particularly members with a savings history.
- **Trade credit** — buying supplies now and paying later, effectively financing short-term working capital needs through suppliers.
- **Equity/investors** — outside investors provide capital in exchange for part-ownership, sharing both risk and future profit, and often diluting the founder's control.

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6. The communication process

Communication is the process of transmitting a message from a sender to a receiver, with the intention of it being understood as intended. The basic process: sender → encodes message → transmits through a chosen channel → receiver decodes the message → feedback returns to the sender, confirming (or not) that the message was understood correctly. **Noise** — anything that distorts or interferes with the message — can occur at any stage of this process.

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7. Methods and channels of business communication

- **Verbal communication** — spoken (face-to-face, telephone, meetings) — allows immediate feedback and clarification, but leaves no permanent record unless separately documented.

- **Written communication** — letters, memos, reports, emails — provides a permanent, referenceable record, but feedback is slower and tone can be more easily misread.
- **Non-verbal communication** — body language, tone of voice, facial expression — often communicates as much as, or more than, the words themselves, especially in face-to-face settings.
- **Formal vs informal channels** — formal channels follow the organisation's official structure (e.g. a memo through the proper reporting line); informal channels bypass it (e.g. casual conversation, the office "grapevine").

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8. Written business communication — reports and memos

A **business report** is a structured document presenting information, analysis and (often) recommendations on a specific matter, typically including: a title, terms of reference (why the report was commissioned), findings, and conclusions/recommendations.

A **memo** (memorandum) is a shorter, typically internal written communication used for routine matters — instructions, brief updates, internal requests — usually following a simple header format (To / From / Date / Subject) followed by a concise message body.

Good business writing, in either format, is clear, concise, uses simple direct language over unnecessary jargon, and is organised so the reader can find the key point quickly.

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9. Full worked question — break-even analysis for a new business idea

Scenario. Njeri is planning to start a small juice-bar business. Fixed costs are estimated at KSh 60,000 per month. Each cup of juice sells for KSh 100 and costs KSh 40 in variable ingredients per cup.

Required: (a) Compute the break-even point in units (cups) per month. (b) Compute the break-even point in sales revenue. (c) Advise Njeri on the significance of this figure for her business plan.

Solution:

(a) Contribution per unit = Selling price − Variable cost per unit = 100 − 40 = KSh 60

Break-even units = Fixed costs ÷ Contribution per unit = 60,000 ÷ 60 = **1,000 cups per month**

(b) Break-even revenue = Break-even units × Selling price = 1,000 × 100 = **KSh 100,000 per month**

(c) This figure tells Njeri the minimum sales volume needed each month just to cover all costs, before any profit is earned. It's a critical figure for her business plan: she should assess, realistically, whether her target market and location can support selling at least 1,000 cups a month — if not, she needs to either raise price, reduce variable/fixed costs, or reconsider the venture's viability before committing capital.

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10. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

ATD LEVEL I — ENTREPRENEURSHIP AND COMMUNICATION (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define "entrepreneur" and outline FOUR characteristics commonly associated with successful entrepreneurs. *(10 marks)*

(b) Distinguish entrepreneurship from simple self-employment. *(4 marks)*

(c) Outline THREE ways a business opportunity may be identified. *(6 marks)*

(Total: 20 marks)

QUESTION TWO

(a) Outline the main sections of a typical business plan. *(14 marks)*

(b) Explain TWO purposes a business plan serves. *(6 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Distinguish between a sole proprietorship, a partnership, and a private limited company as forms of business ownership. *(12 marks)*

(b) Outline FOUR sources of finance available to a small business. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

Kioko is planning a small bakery. Fixed costs are KSh 45,000 per month. Each loaf sells for KSh 80 and costs KSh 50 in variable ingredients.

Required:

(a) Compute the break-even point in units per month. *(6 marks)*

(b) Compute the break-even point in sales revenue. *(4 marks)*

(c) Explain the significance of the break-even point for Kioko's planning. *(4 marks)*

(d) Describe the basic communication process, from sender to feedback. *(6 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Distinguish between verbal, written, and non-verbal communication, giving one example of each. *(12 marks)*

(b) Distinguish between a business report and a memo. *(8 marks)*

(Total: 20 marks)

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11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(10 marks)* — An entrepreneur identifies a business opportunity, mobilises resources, and takes on risk to organise and run a venture for profit and growth; characteristics: innovativeness, calculated risk-taking, initiative, persistence, achievement drive (any four, 2.5 marks each — up to 10).

(b) *(4 marks)* — Entrepreneurship typically involves growth, scaling and innovation; self-employment can simply mean replicating an existing income activity at a fixed, small scale without necessarily seeking growth.

(c) *(6 marks — 2 marks each)* — Observing unmet customer needs; gaps in existing markets; inefficiencies in current delivery of a good/service (emerging trends also acceptable).

QUESTION TWO

(a) *(14 marks — 2 marks each)* — Executive summary, business description, market analysis, organisation and management, products/services, marketing and sales strategy, financial plan.

(b) *(6 marks)* — Guides the entrepreneur's own decisions and planning; persuades lenders/investors to provide finance (any two purposes, 3 marks each).

QUESTION THREE

(a) *(12 marks — 4 marks each)* — Sole proprietorship: one owner, unlimited liability, simple setup. Partnership: two or more owners sharing capital/management/profit, generally unlimited liability. Private limited company: separate legal entity, owners have limited liability, more complex to administer.

(b) *(8 marks — 2 marks each)* — Personal savings, family/friends, bank loans, SACCOs/microfinance (trade credit or equity also acceptable).

QUESTION FOUR

(a) *(6 marks)* — Contribution per unit = 80 − 50 = 30. Break-even units = 45,000 ÷ 30 = **1,500 loaves per month**.

(b) *(4 marks)* — Break-even revenue = 1,500 × 80 = **KSh 120,000 per month**.

(c) *(4 marks)* — It shows the minimum monthly sales needed to cover all costs before any profit — useful for assessing whether the target market can realistically support that volume before committing capital.

(d) *(6 marks)* — Sender encodes a message → transmits through a chosen channel → receiver decodes it → feedback returns to the sender confirming whether it was understood as intended; noise may distort the message at any stage.

QUESTION FIVE

(a) *(12 marks — 4 marks each)* — Verbal: spoken, e.g. a meeting — allows immediate feedback. Written: e.g. a report/memo — provides a permanent record. Non-verbal: e.g. body language/tone — often communicates as much as the words themselves.

(b) *(8 marks)* — A report is a longer, structured document with findings and recommendations on a specific matter; a memo is a shorter, typically internal communication for routine matters, using a simple header format.

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12. Exam technique and revision checklist

- Break-even questions: always state the contribution-per-unit formula explicitly before dividing into fixed costs — marks are awarded for the method, not just the final number.

- Business-plan questions: know the standard sections by name and in a sensible order, not just vaguely "what should be included."
- Ownership-form questions ("distinguish X from Y"): answer with a clear point-by-point contrast (liability, ownership, complexity) rather than two disconnected descriptions.
- Communication-process questions: present the process as an ordered flow (sender → encode → channel → receiver → decode → feedback), naming "noise" explicitly where relevant.
- Always tie a computation back to its practical business significance when a question asks you to "advise" or "explain the significance."

Quick revision — one line per topic:

1. Entrepreneur: identifies opportunity, mobilises resources, takes on risk, for profit and growth.
2. Business plan sections: executive summary, business description, market analysis, organisation/management, products/services, marketing/sales, financial plan.
3. Ownership forms: sole proprietorship (unlimited liability, simple), partnership (shared, unlimited liability), company (limited liability, separate legal entity).
4. Finance sources: savings, family/friends, bank loans, SACCOs/microfinance, trade credit, equity.
5. Break-even units = Fixed costs ÷ (Selling price − Variable cost per unit).
6. Communication process: sender → encode → channel → receiver → decode → feedback (watch for "noise").
7. Verbal vs written vs non-verbal communication — know one advantage/limitation of each.
8. Report vs memo: report is longer/structured with findings/recommendations; memo is short and routine.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.